

ECONOMY

ON A SOLID FOOTING

The *BT-C Fore Business Confidence Survey* revealed that business confidence in the December 2023 quarter was at its highest in nearly eight years

BY SURABHI

18 | ► **SHRUGGING OFF THE** impact of two ongoing wars across the world, Indian businesses now seem to be on a firmer footing and optimistic about the future. This is reflected in the *BT-C Fore Business Confidence Survey* of 500 chief executive officers (CEOs) and chief financial officers (CFOs) for the October-December 2023 quarter, which touched its highest level since the April-June 2015 quarter.

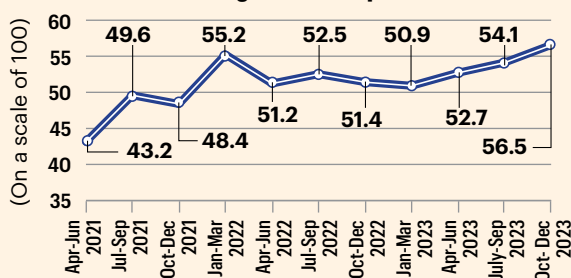
The Business Confidence Index (BCI) rose to 56.5 in the December quarter, which was marginally higher than the 54.1 in the previous quarter. However, before this, the BCI had touched a high of 57.4 in April-June 2015, after which it had been on a gradual decline and plunged to a low of 43.2 in the June 2021 quarter.

Recent data suggests that the domestic economy is showing strength even in the face of a less favourable global situation. The first Advance Estimates of national income pegged gross domestic product (GDP) growth at 7.3% this fiscal, compared to 7.2% in FY23, belying expectations of a slowdown. While economic growth is seen to have slowed down during the second half of the fiscal year, high-frequency indicators reveal that demand and consumption have remained robust even after the festive season.

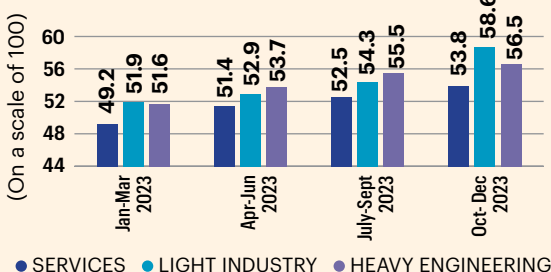
Aditi Nayar, Chief Economist and Head of Research and Outreach at rating agency ICRA, says factors such as a high base, along with the tepid outlook for agricultural output and rural demand, and a potential slowdown in government capex growth are contributing to the expected slowdown in economic growth in the sec-

READY FOR TAKE-OFF

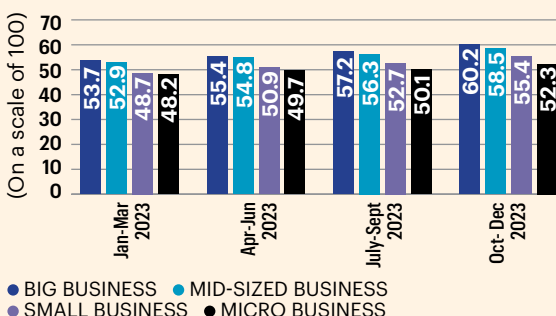
Business confidence highest since April-June 2015



BCI grows across sectors, light industry most optimistic



Big businesses more confident, micro still struggling



Demand expectations remain optimistic for Q4, but hiring is muted

